

Dissertation Summary

The Effect of Country Risk on M&A Deal Premiums: Evidence from BRICS Economies (2014–2024)

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Project Overview

This dissertation examines whether country risk affects merger and acquisition deal premiums in BRICS economies, covering Brazil, Russia, India, China, and South Africa. The study focuses on the period 2014–2023 and investigates whether macro-institutional factors such as governance quality, political risk, and sovereign credit strength influence the premiums paid by acquirers in M&A transactions.

The project was designed to understand whether acquisition premiums in emerging markets are mainly shaped by country-level risk conditions or by firm-level and deal-specific factors such as synergies, strategic motives, market conditions, and negotiation dynamics.

Research Objective

The main objective of the study was to analyse the relationship between country risk and M&A deal premiums in BRICS economies. The research specifically examined whether the following country risk indicators influenced acquisition premiums:

- Rule of Law
- Political Risk
- Government Effectiveness
- Sovereign Credit Score

Deal premiums were measured across three event windows:

- 1-day premium
- 1-week premium
- 4-week premium

Data Sources

The dataset was constructed by combining deal-level M&A data with country-level risk indicators. The main data sources were:

- Refinitiv Eikon for M&A deal information

- World Bank Worldwide Governance Indicators for Rule of Law and Government Effectiveness
- PRS Group International Country Risk Guide for Political Risk
- Moody's, S&P, and Fitch credit ratings for sovereign credit scores

A country-year matching key was used to connect each transaction with the relevant country risk indicators for the year of the M&A announcement.

Methodology

The study used a quantitative empirical research design. The data was cleaned and organised in Microsoft Excel, while regression analysis was conducted using Stata.

The independent variables were standardised into z-scores to make the coefficients comparable across different measurement scales. Ordinary Least Squares regression models were then estimated separately for 1-day, 1-week, and 4-week deal premiums.

The baseline regression model was:

$$Premium_{it} = \beta_0 + \beta_1 ROL_{it} + \beta_2 POLRISK_{it} + \beta_3 GOVTEFF_{it} + \beta_4 CR_SCORE_{it} + \epsilon_{it}$$

Robust standard errors were used to improve the reliability of the results.

Key Findings

The results showed that country risk indicators were not statistically significant in explaining variations in M&A deal premiums across BRICS economies.

The main findings were:

- Rule of Law, Political Risk, Government Effectiveness, and Credit Score did not have a statistically significant effect on 1-day, 1-week, or 4-week deal premiums.
- R-squared values were low, suggesting that country risk explains only a limited part of premium variation.
- M&A premiums in BRICS economies were highly volatile, with some extreme outliers.
- Premiums appear to be influenced more by firm-level and deal-specific factors than by broad country-level risk indicators.
- Country risk may already be priced into valuations before the deal announcement.

Business Interpretation

The results suggest that acquirers may consider country risk during the early valuation and negotiation process, rather than directly reflecting it in the final announced premium. This means that country risk is still relevant, but it may affect the decision to pursue a deal, the discount rate, or the deal structure instead of the premium itself.

For investors and analysts, the findings highlight the importance of focusing on firm-level due diligence, expected synergies, target performance, industry dynamics, and strategic fit when evaluating M&A premiums in emerging markets.

For policymakers, the findings suggest that improving institutional quality remains important for attracting investment, but these improvements may not immediately appear in higher M&A premiums.

Skills Demonstrated

This project demonstrates the following finance and analytical skills:

- Financial data analysis
- M&A valuation research
- Regression modelling
- Econometric analysis
- Data cleaning and merging
- Use of Stata and Excel
- Interpretation of financial and governance indicators
- Emerging market analysis
- Academic and professional research writing

Conclusion

The study concludes that country risk does not directly explain M&A deal premiums in BRICS economies during the sample period. Instead, deal premiums appear to be shaped mainly by transaction-specific and firm-level factors such as expected synergies, strategic objectives, negotiation strength, and market conditions.

The research contributes to the understanding of M&A pricing in emerging markets by showing that while country risk provides important background context, it is not the main driver of observed acquisition premiums.